BMW Group Report 2025: summary for my company note

Source: BMW Group Report 2025, pages 2 to 39 (key figures, Supervisory Board report, chairman's statement and business overview). Prepared 30 October 2026 for Week 2 of my asset management project.

This is the company's own account of itself, so treat the early pages as management's view and test them against the numbers. The formal risk section (pages 250 to 259) is not covered here.

1. What does BMW sell?

BMW Group makes premium cars and motorcycles under four brands (BMW, MINI, Rolls-Royce and BMW Motorrad), and also runs a financial services business. It reports three segments: Automotive, Motorcycles and Financial Services.

- **Cars:** about 2.46 million delivered in 2025, roughly flat on 2024. The BMW brand accounted for 2.17 million, MINI about 288,000 (up almost 18%) and Rolls-Royce about 5,700.
- **Motorcycles:** around 203,000 sold, down 3.7%.
- **Electrification:** all-electric cars were 17.9% of deliveries, and electrified cars including plug-in hybrids about 26%. BMW calls its approach "technology-neutral", meaning it sells petrol, diesel, hybrid, electric and (from 2028) hydrogen cars side by side.
- **Where:** China was still the biggest single market at around 626,000 vehicles, but Europe passed one million for the first time since 2019 and US deliveries rose 5% to about 419,000.
- **Key new product:** the NEUE KLASSE, a new generation of electric BMWs starting with the iX3, which the company describes as its biggest leap in years.

2. How does BMW earn money?

Revenue was €133.5 billion in 2025. By segment:

Segment	Revenue (€ million)	Profit before tax (€ million)
Automotive	117,557	5,945
Motorcycles	3,143	174
Financial Services	39,806	2,401

The segments do not add up to the group total, because transactions between them (for example the finance arm buying cars from the car arm) are removed. That removal is about €27 billion.

Financial Services (loans and leases to customers and dealers) grew 3.2% while Automotive fell 5.9%. It is a meaningful and steadier profit contributor, with a return on equity of 14.3%.

Group profit before tax was €10.2 billion, with net profit of €7.45 billion (about €7.29 billion of it attributable to shareholders). Automotive free cash flow, the cash left after investment, fell to €3.2 billion, less than half its 2023 level of €6.9 billion.

3. What could go wrong?

- **China:** the market has become extremely competitive, hurting sales and earnings for domestic and foreign manufacturers. BMW is cutting its dealer network there and developing China-specific cars with local partners.
- **Tariffs and trade policy:** the board modelled how different tariffs could affect the group and looked at supply-chain risks. Management says import tariffs weighed on 2025 earnings.
- **Falling profitability:** Automotive EBIT margin (operating profit as a share of revenue) fell from 10.3% in 2021 to 5.3% in 2025, below BMW's own target of 8 to 10%. Return on capital in Automotive has fallen from 24.0% to 9.0%, against a target of 18% or more.
- **Credit outlook:** S&P kept BMW at an A rating but changed the outlook from stable to negative.
- **Regulation:** EU CO2 rules, with BMW lobbying for relaxed 2030 and 2035 targets.
- **Legal and supplier issues:** a dispute with a supplier over an integrated brake system, plus ongoing proceedings on diesel emissions in older X3 models.
- **Execution:** the NEUE KLASSE launch (new plants in Hungary and Munich) and a change of chairman, with Milan Nedeljković succeeding Oliver Zipse at the 2026 shareholder meeting.

Numbers to check against Yahoo Finance

Item	Report (€ million)
Revenue 2025	133,453
Revenue 2024	142,380
Revenue 2023 (peak)	155,498
Net profit 2025 (group)	7,451
Net profit attributable to BMW shareholders	7,294

Revenue is down about 14% from the 2023 peak. Yahoo's Net Income row may show either of the two net profit figures, so a difference of about €157 million between them is the likely cause if my notebook disagrees with the report.

Checked: Matches with Yahoo Finance

What to write in my one-page note

Answer in my own words: where does BMW's profit actually come from, and is the trend improving or worsening? The honest read from these figures is that BMW is still large and profitable but earning less on each euro of sales, with a bet on the NEUE KLASSE to reverse that.